Japan Equity Strategy

Japanese equities heading into a phase of 3% yields; where to go, AI and financials?

Equity Strategy

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A rapid rise in long-term yields last week led AI semiconductor stocks to decline in Japan. The rise in Japanese yields appeared to spill over to global markets late last week. Persistently high oil prices and reports of the government's supplementary budget appear to have been the triggers. However, we think the supplementary budget, which drew a strong market reaction, merely pushes back the achievement of a primary-balance surplus from FY2026 to FY2027-28, and is unlikely to trigger a triple sell-off in Japan. We argued in January that a 10-year JGB yield of 3.0–3.5% is a warning level for the regional financial system (report).We think this level remains largely unchanged. Given the government's targets for inflation and potential growth of 1.1% for FY2030, a 3% yield is not a surprising level, but we think it should be reached gradually and thus view the recent move as rapid. However, a phase of a 10-year JGB yield of 3% will likely come into view in the medium term. We think the equity market can maintain its uptrend without collapsing even under 3% yields, because (1) the risk of rapid yen appreciation has receded, making it unlikely that the impact of rising rates on earnings and stocks will be amplified, and (2) the resilience of the regional financial system is higher with accelerated sector reorganization. (3) Foreign investors have leeway to buy, while individuals, who hold ¥2,200 trillion in assets, are also increasing their equity investments. In a phase of rising yields in Japan, we think financials have a relative advantage, but do not see this as necessarily leading to the end of the AI rally. AI growth is linked through a global supply chain, and the sustainability of the AI rally mainly depends on US yields and AI risks (power constraints, regulations, and pricing, for example). We expect US long-term yields to remain broadly flat through year-end. Japan's market should be able to maintain its uptrend, as financials and AI semiconductors, which respectively account for 20% of TOPIX by market cap, benefit from the AI- and financial-led rally.

Summary

- The rapid rise in long-term yields last week led AI semiconductor stocks to decline. Persistently high oil prices and reports of the government's supplementary budget appear to have been the triggers.
- The supplementary budget, which could lower the primary balance/GDP ratio by 0.5ppt and push back the achievement of a primary-balance surplus from FY2026 to FY2027-28, is unlikely to trigger a triple sell-off in Japan.
- A phase of 3% yields would not be a surprise (our year-end forecast is 2.95%), but the recent rise in yields has been rapid. We expect oil prices to decline slightly toward year-end.
- Fiscal resilience to rising yields depends on the supplementary budget and the scale of the FY2027 budget. We still see a 10-year JGB yield of 3.0–3.5% as a warning level for the regional financial system.
- We think Japanese equities can maintain their uptrend even in a phase of 3% yields thanks to the reduced risk of yen appreciation, foreign

See page 12 for analyst certification and important disclosures.

investors' leeway to buy, and individuals' increasing investments.

- Financials have a relative advantage from rising yields, but AI growth, which is linked through a global supply chain, should continue unless US yields rise rapidly (our year-end forecast for the 10-year UST yield is 4.55%).
- Rising yields have a large negative impact on real estate, electric power & gas, and air transportation.

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Rising long-term yields: Spillover from Japan to global markets?

Japanese long-term yields rose last week, driven by persistently high oil prices, rising corporate goods price indices in Japan and the US, and the end of Fed Chair Powell's term. Over the three days from May 14 to May 18, the 10-year JGB yield topped 2.5% and temporarily climbed above 2.8%. Japanese long-term yields rose before US long-term yields did, suggesting the rise in the former may have spilled over to global markets (Figure 1). Japanese long-term yields began rising in late February, and the pace accelerated in late March, resulting in a widening of the difference with US yields. Persistently high oil prices affect both markets, but Japan is an oil importer facing strong inflationary pressure, and reports of a consumption tax cut and the compilation of a supplementary budget likely accelerated the rise in yields (Figure 2). However, US developments appear to have resumed their role as the driver of rising yields on the 20th. Yield movements typically originate in the US market unless there are catalysts that lead Japanese yields to move first.

Japanese long-term yields rising rapidly; will they settle down?
Yields have risen rapidly, but not as fast as in the past. However, given the current uptrend's longer duration and more structural nature than previous ones, the focus is on the terminal level for long-term yields (Figure 3). In light of the government's 2030 potential growth target of 1.1% and 2% inflation target, a 3% yield is not a surprise, but the recent yield increases have been quite rapid. Cost-push factors, including imported inflation (at peak levels excluding the pandemic), are major contributors to the current rising-yield cycle, but the premium has widened particularly since the start of 2026 (Figure 4 and Figure 5). We think yields could stabilize in the short term if the situation in the Middle East calms down and the price of Brent crude oil pulls back (our forecast: from over $110/bbl currently to around $95/bbl by year-end).

Impact of rising yields partially offset by JPY weakness
Since the start of the Takaichi administration in October 2025, yields have risen as JPY has depreciated. Despite rising yields, corporate earnings and the equity market have not declined sharply so far thanks to JPY weakness, which boosts corporate earnings and partially offsets the negative impact of rising yields (Figure 3). Companies have continued to pass on nearly 70% of cost increases, even as the hurdle for doing so has risen amid high oil prices, leaving much of the negative impact of high oil prices on final demand.

Fiscal response to impact on final demand faces sustainability questions
The high oil price shock hit just as final demand was starting to pick up around spring 2026, leading to a rapid deterioration in consumer sentiment indicators even though recent economic indicators are not weak (Figure 7). Discussions about the compilation of a supplementary budget to support final demand are leading to fiscal concerns and rising long-term yields.

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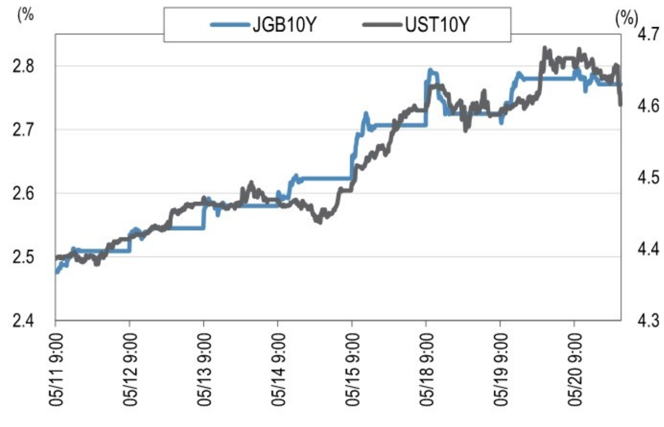
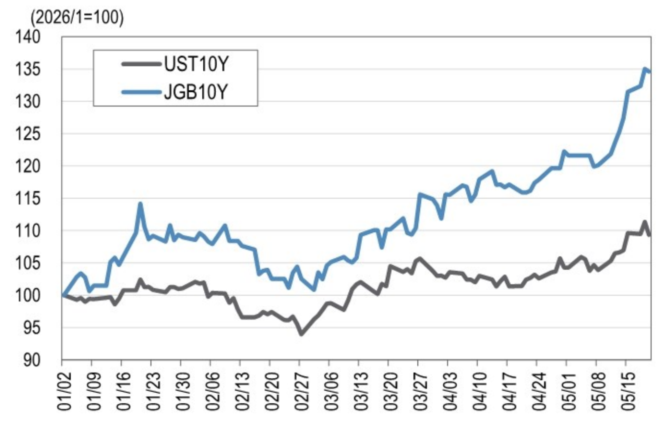
Figure 1: Japan and US 10Y Interest Rates



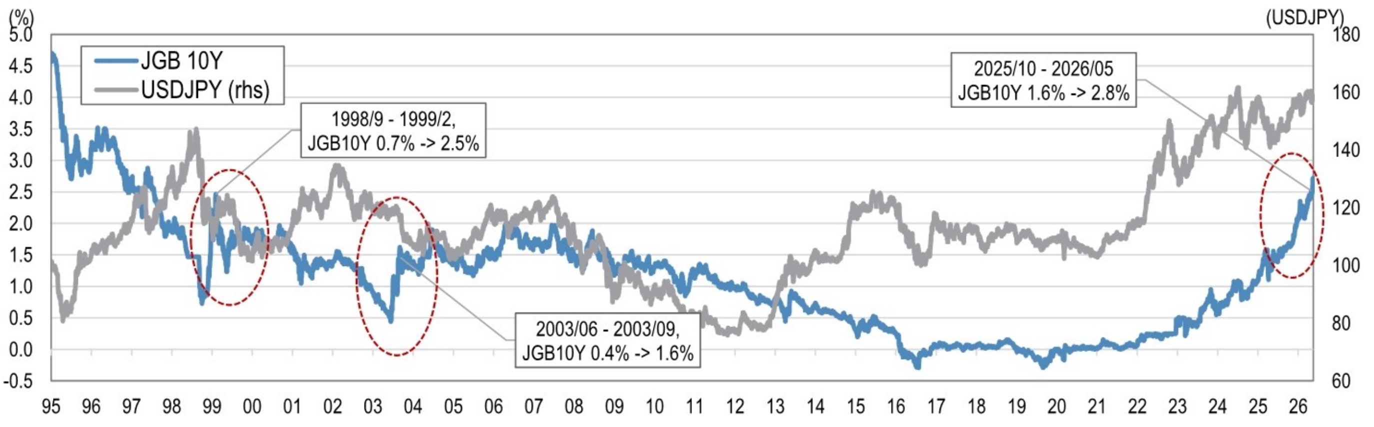
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 2: 2026 YTD Trend in Japan-US 10-Year Interest Rates



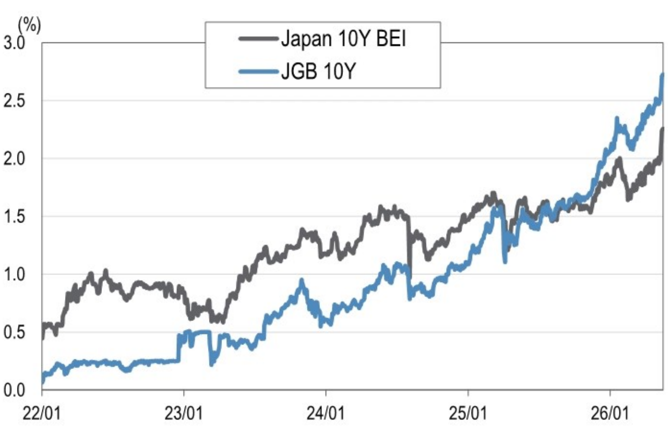
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 3: JGB 10Y Yield and USDJPY Since 1995



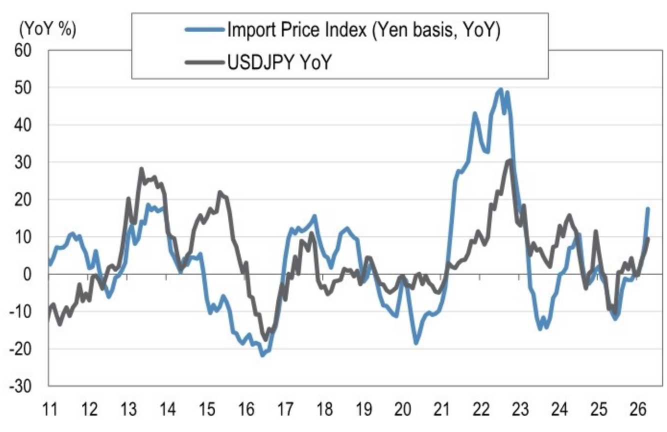
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 4: Japan 10Y Breakeven Inflation Rate (BEI)



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 5: Japan Import Price Index



Source: Bloomberg Finance L.P., J.P. Morgan

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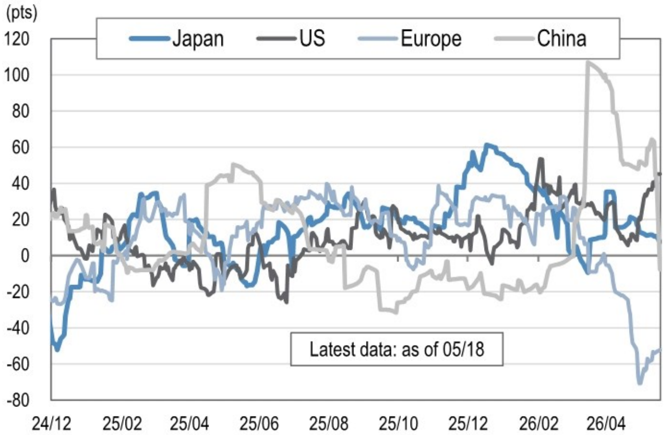
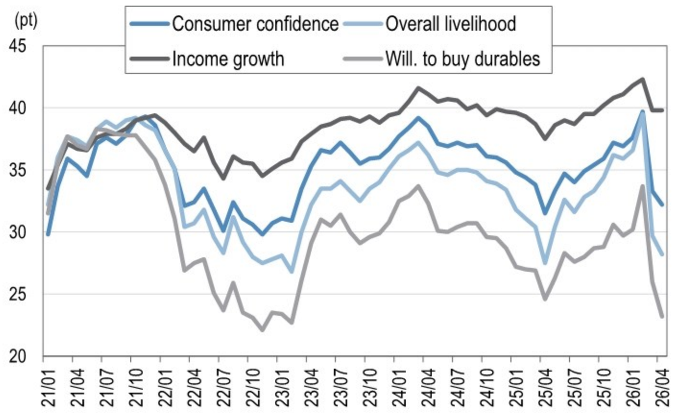
Figure 6: Economic Surprise Index



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 7: Consumer Confidence Index



Source: CAO, Bloomberg Finance L.P., J.P. Morgan

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Fiscal impact draws market attention

Reports on the Japanese government's supplementary budget (from Yomiuri, Kyodo, and other media organizations) appear to have triggered last week's sharp rise in yields. The market's main areas of focus regarding Japan's fiscal situation are (1) the supplementary budget (an increase in contingency funds), (2) a consumption tax cut for food, and (3) cash handouts of ¥50,000 per person (proposed by the Democratic Party for the People on May 12). The likelihood of these measures, the scale of fiscal spending, and their impact on the fiscal balance are under scrutiny.

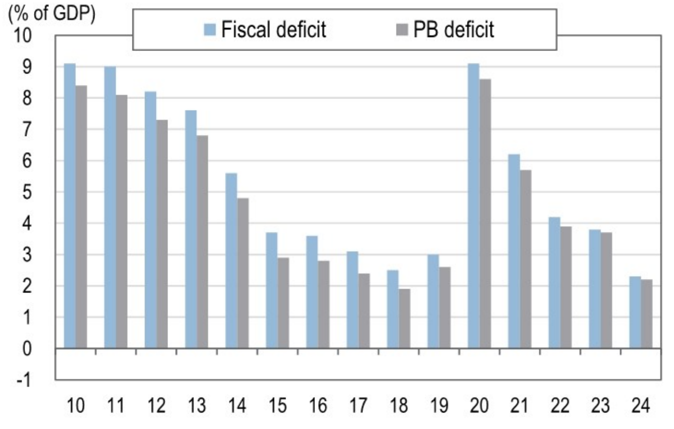
Assuming a ¥2–3 trillion increase in contingency funds, we estimate the supplementary budget would lower the primary balance/GDP ratio by about 0.5ppt. Combined with a consumption tax cut, it would lower the ratio by about 1ppt and thereby postpone the achievement of a primary-balance surplus from FY2026 to FY2027-28 (Figure 8). The scale of government spending, including medium-term investments in strategic areas, such as defense, and the medium-term fiscal balance in the Basic Policy need to be finally confirmed, but we do not think the supplementary budget alone will lead to a sell-off in stocks or a triple sell-off (of bonds, JPY, and equities). However, if the ¥50,000 cash handout proposed by the Democratic Party for the People materializes, it would lower the primary balance/GDP ratio by an additional more than 1ppt, which is not a minor impact (the market is not seriously considering this likelihood at present).

Figure 8: Fiscal Impact of Key Policy Measures

Policy	Fiscal Impact	% of GDP	PB/GDP Impact
2 ~ 3 tril JPY Reserve	JPY 2-3 tril	0.3 ~ 0.5%	▲0.3 ~ 0.5pt
0% Food Consumption Tax	JPY 4-5 tril/ year	0.6–0.8%	▲0.6–0.8pt
JPY 50,000 Grant	JPY 6.2 tril	1.00%	▲1.0pt

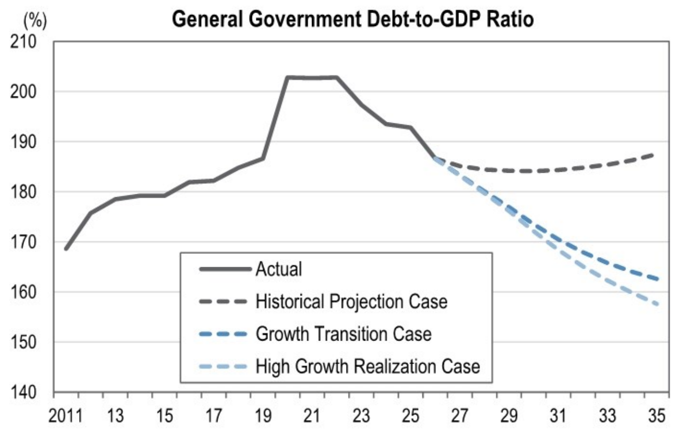
Source: J.P. Morgan Japan Equity Strategy team estimates

Figure 9: Japan Primary Balance



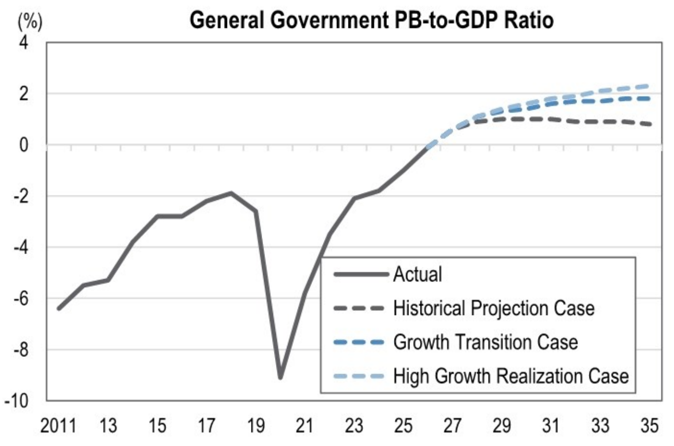
Source: MoF, J.P. Morgan

Figure 10: General Government Debt-to-GDP Ratio



Source: J.P. Morgan created from 2026 Jan CAO estimates

Figure 11: General Government PB-to-GDP Ratio



Source: J.P. Morgan created from 2026 Jan CAO estimates

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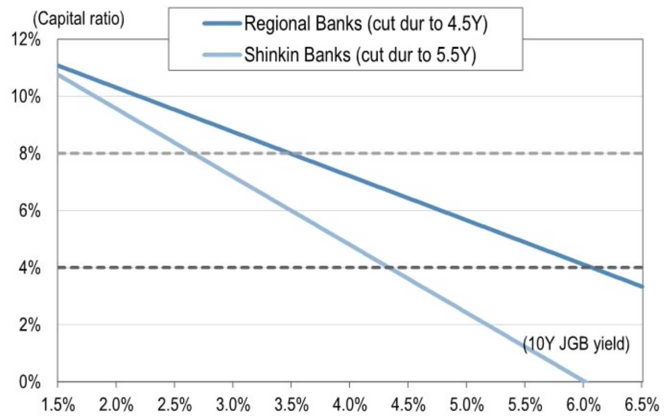
Economic system's resilience to rising yields

(1) Regional financial system: 10-year yield of 3.0–3.5% as a warning level

We argued in February that if the 10-year yield reaches 3.0–3.5%, the financial system could be negatively affected through the impact on regional financial institutions' capital levels (Figure 12: 2.5–3.0% as of last November). Japanese equities have risen since then, but assuming the impact on regional banks' increases in capital through their strategic shareholdings is limited because the rally is centered on AI semiconductors, we still see a 10-year yield of around 3.0–3.5% as a warning level for the regional financial system. With the acceleration of regional financial institutions' consolidations (integrations and mergers) since last year, the system's resilience to rising yields appears to be increasing accordingly (Figure 13).

Figure 12: Capital Adequacy Ratios of Regional Banks and Shinkin Banks vs. JGB 10Y Yield



Source: J.P. Morgan estimates from BOJ "Financial Results of Japan's Banks for Fiscal 2024"
Note: Shinkin banks support local communities and regional economies, especially small and medium-sized enterprises (SMEs) and local residents.

Figure 13: Regional Financial Institution Restructuring and Merger Activity Since 2025

Ann. Date	Regional Bank Restructuring Developments
2025/1	Aomori Bank and Michinoku Bank merged; Aichi Bank and Chukyo Bank merged
2025/3	Shizuoka Bank, Yamanashi Chuo Bank, and Hachijuni Bank entered into a comprehensive business alliance
2025/4	Daishi Hokuriku FG and Gunma Bank reached a basic agreement for management integration scheduled for April 2027
2025/7	Chiba Bank and Chiba Kogyo Bank are in discussions toward management integration
2026/3	Shizuoka FG and Nagoya Bank reached a basic agreement for management integration
2026/5	Aichi FG and Sanjuusan FG reached a basic agreement for management integration

Source: Created by J.P. Morgan from Nikkei news reports, etc.

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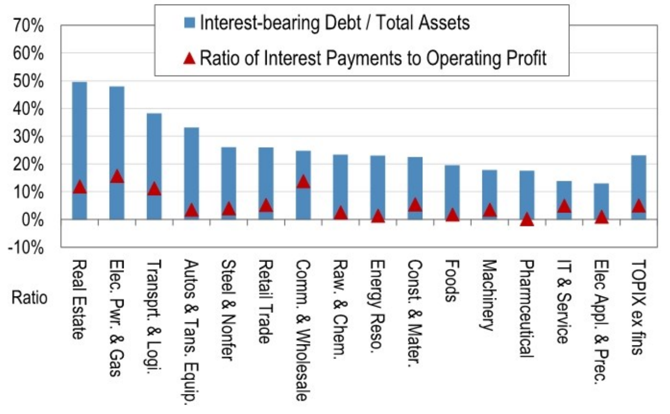
(2) Corporate impact

Impact of rising yields on debt ratios: Minor for semiconductors, telecoms, pharmaceuticals, and machinery

We think rising yields do not affect companies as much as the fiscal and regional bank systems because companies have cash and deposits on their balance sheets. However, the impact varies by sector, depending on the characteristics of each company's industry and reliance on debt. We expect rising yields to increase interest payment burdens in sectors with high ratios of interest-bearing debt to total assets, including real estate, electric power & gas, transportation & logistics, autos, and steel & nonferrous metals (Figure 14). Rising yields are unlikely to affect the electronics & precision instruments, telecommunications & services, pharmaceutical, and machinery sectors much because they have low debt ratios.

Figure 14: Borrowing Ratio by Sector



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 15: Event Schedule

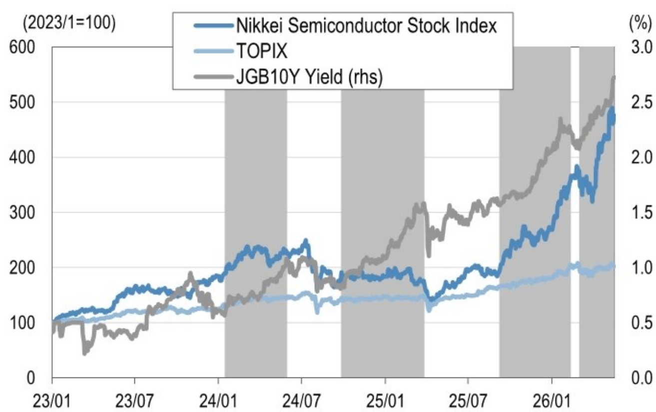
Ann. Date	Events
May 18-19	G7 Finance Ministers and Central Bank Governors Meeting
June 14-16	G7 Leaders' Summit
End June-July beginning?	Basic Policy (on Economic, Fiscal Management, Reform)
June 15-16, July 30-31	Bank of Japan meeting
Summer 2026	Budget request for fiscal year 2027

Source: J.P. Morgan

Will rising yields end the AI rally?

Will rising yields end the AI rally? The Nikkei Semiconductor Stock Index and the TOPIX electronics & precision instruments sector outperformed TOPIX in three of the four phases of rapid yield increases in Japan since 2023 ((1) Jan–Jun 2024, (2) September 2024–April 2025, (3) September 2025–February 2026, and (4) March 2026-present) (Figure 16, Figure 17). Even in the one phase when AI semiconductor stocks did not outperform (September 2024–April 2025), they performed in line with TOPIX. In particular, AI semiconductor stocks have outperformed even during the rapid rise in yields since the inauguration of the Takaichi administration in October 2025, except during the first part of the Middle East conflict in March. We think the rising yields have not had a large direct negative impact on them partly because of the low debt ratios in the electronics & precision instruments sector, as mentioned above. If rising US yields depress the valuation multiples of US hyperscalers, Japanese AI semiconductor stocks' P/Es are very likely to be hurt as well, but our global equity strategy team considers AI stocks very attractive, as their earnings are likely to be strong even without the benefits of low yields (report).

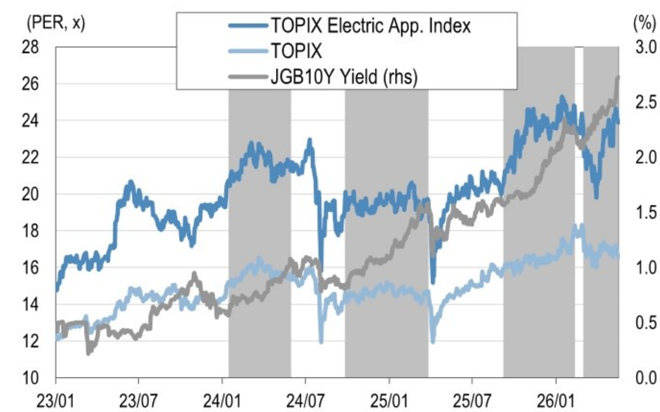
Figure 16: Semiconductor Stock Price Performance During Periods of Sharp Rate Increases



Source: Bloomberg Finance L.P., J.P. Morgan

Note: Shaded areas indicate periods of sharp interest rate spikes

Figure 17: Electric Appliances Stock Valuation During Periods of Sharp Rate Increases



Source: Bloomberg Finance L.P., J.P. Morgan

Note: Shaded areas indicate periods of sharp interest rate spikes. NTM Bloomberg consensus PER

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Sectors with strong and weak resilience against rising yields and JPY depreciation

Finally, sectors that tend to do well in phases of simultaneously rising yields and a depreciating JPY include banks, financials (excluding banks), energy resources, electric power & gas, and machinery. Pharmaceuticals, materials & chemicals, autos, and telecommunications & services tend to underperform (Figure 18).

Figure 18: Index and Sector Performance During Periods of Simultaneous Rate Rises and Yen Depreciation Since 2023

		2023/7 - 2023/10	2024/3 - 2024/6	2024/9 - Mid 2024/11	2025/10 - Mid 2026/1	2026/3 - 2026/5/18
JGB 10Y yield	High	0.9%	1.1%	1.1%	2.3%	2.7%
	Low	0.4%	0.7%	0.8%	1.6%	2.1%
	Chg pt	0.6%	0.4%	0.3%	0.6%	0.6%
JGB 20Y yield	High	5.0%	4.7%	4.5%	4.2%	4.6%
	Low	3.7%	4.1%	3.6%	3.9%	4.0%
	Chg pt	1.2%	-0.6%	0.8%	0.3%	0.6%
USDJPY change (Yen)		7.4 Weak Yen	10.8 Weak Yen	10.1 Weak Yen	10.1 Weak Yen	2.8 Weak Yen
TOPIX return		-1.5%	3.7%	-0.4%	-0.4%	-2.8%
Sectors with the best performance and stock price return	1	Energy Reso. (24.0%)	Fin ex Bank (18.0%)	Banks (13.0%)	Banks (13.0%)	Elec Appl. & Prec. (8.3%)
	2	Banks (19.2%)	Elec. Pwr. & Gas (17.2%)	Machinery (5.3%)	Machinery (5.3%)	Steel & Nonfer (6.6%)
	3	Elec. Pwr. & Gas (8.7%)	Energy Reso. (16.3%)	Retail Trade (2.4%)	Retail Trade (2.4%)	IT & Services (3.0%)
	4	Fin ex Bank (8.3%)	Banks (14.6%)	Fin ex Bank (1.9%)	Fin ex Bank (1.9%)	Fin ex Bank (-0.1%)
	5	Real Estate (7.0%)	Machinery (7.6%)	IT & Services (1.3%)	IT & Services (1.3%)	Raw. & Chem. (-1.9%)
Sectors with the worst performance and stock price return	1	Elec Appl. & Prec. (-10.8%)	Transprt. & Logi. (-8.3%)	Elec. Pwr. & Gas (-10.2%)	Elec. Pwr. & Gas (-10.2%)	Real Estate (-22.3%)
	2	Machinery (-9.5%)	Autos & Trans. Equip. (-6.4%)	Pharmaceuticals (-10.1%)	Pharmaceuticals (-10.1%)	Autos & Trans. Equip. (-19.0%)
	3	Pharmaceuticals (-7.5%)	Retail Trade (-1.8%)	Real Estate (-9.0%)	Real Estate (-9.0%)	Elec. Pwr. & Gas (-12.8%)
	4	Raw. & Chem. (-4.7%)	Pharmaceuticals (0.9%)	Raw. & Chem. (-5.6%)	Raw. & Chem. (-5.6%)	Pharmaceuticals (-12.2%)
	5	IT & Services (-3.8%)	IT & Services (2.0%)	Autos & Trans. Equip. (-5.2%)	Autos & Trans. Equip. (-5.2%)	Const. & Mater. (-11.5%)

Source: CAO, Bloomberg Finance L.P., J.P. Morgan

Note: Sector return is absolute return.

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Completed 21 May 2026 06:27 PM JST

Disseminated 21 May 2026 06:34 PM JST